WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

BHUTAN

Asia

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Dialogue | Trust | Partnership

office@lordwaverley.com
www.lordwaverley.com

WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Thimphu	Capital and seat of government; home to the Royal Monetary Authority, ministries, Druk Holding and Investments and most financial institutions	Financial services, IT and IT-enabled services, hospitality, professional services
Gelephu Mindfulness City (Sarpang, southern border)	Special administrative zone of about 2,500 sq km with its own legal framework drawing on Singapore law and Abu Dhabi Global Market regulations, an international airport under development and a planned 69 km rail link to Kokrajhar in India	Financial and digital-asset services, green industry, agro-processing, tourism, infrastructure
Punatsangchhu basin (Wangdue Phodrang)	Site of the 1,020 MW Punatsangchhu-II plant, inaugurated in November 2025 and raising national generating capacity by nearly 40%, with the 1,200 MW Punatsangchhu-I project to follow	Hydropower, construction, engineering services
Eastern Bhutan (Kurichhu basin, Mongar)	Location of the 1,125 MW Dorjilung project, due by 2031 and backed by the World Bank, which alongside the 600 MW Khorlochhu project is developed by Druk Green Power Corporation with Tata Power as 40% partner	Hydropower, civil works, transmission
Phuentsholing (south-west border)	Principal land entry point and commercial hub through which most of Bhutan's trade with India passes	Trade, logistics, light manufacturing, wholesale distribution
Samtse (south-west)	Industrial centre set to gain a 20 km rail connection to Banarhat on India's network under the cross-border rail programme announced in September 2025	Manufacturing, logistics, agro-processing
Paro and the western tourism circuit	Bhutan's international air gateway and centre of a high-value tourism model that drew 181,516 visitors in 2025, up 25.4%	Premium hospitality, eco-tourism, aviation services

INVESTOR ENTRY ROUTES

- Department of Industry (Ministry of Industry, Commerce and Employment) approves FDI projects and issues FDI Registration Certificates within three working days, supported by the Invest Bhutan portal

- FDI Rules and Regulations 2025 (in force July 2025) allowing up to 100% foreign equity in priority sectors such as food products, specialised healthcare, five-star hotels, IT services and major infrastructure, with 30-year state land leases
- Guaranteed repatriation of capital, capital gains and dividends in the currency of investment, with enhanced access to foreign exchange through the Royal Monetary Authority
- Gelephu Mindfulness City, a separate jurisdiction applying 18 Singaporean laws and 10 Abu Dhabi Global Market financial regulations under GMC Law No. 1 of 2024, with its own licensing for financial and digital-asset firms
- Ngultrum pegged at par to the Indian rupee, which circulates freely for trade and settlement under the India–Bhutan free trade regime
- Joint ventures with Druk Green Power Corporation for hydropower, following the Tata Power (Dorjilung, Khorlochhu) and Adani Power (570 MW Wangchhu) models
- Public-sector partnership through Druk Holding and Investments, the state's commercial holding company, for energy, digital and industrial ventures

MARKET-ENTRY OBSERVATION

Bhutan in October 2026 is enjoying one of the strongest growth phases in its modern history. The Ministry of Finance estimates growth of 8.7% in 2025, as power generation rose 36.2% following the commissioning of Punatsangchhu-II, tourist arrivals increased 25.4% and inflation held at 3.5%; the World Bank projects growth of 7.1% in FY2025/26 and 6.4% in FY2026/27, supported by construction of the Dorjilung and Khorlochhu projects. Foreign investment interest is rising markedly: 21 FDI projects worth Nu 165.6 billion were approved in FY2025/26, up from 17 the previous year, and the FDI Rules and Regulations 2025 opened priority sectors to full foreign ownership and guaranteed repatriation. Graduation from Least Developed Country status in December 2023, India's INR 10,000 crore support for the 13th Five Year Plan (2024–2029) and the Gelephu Mindfulness City initiative provide a strong platform for the next stage of development.

Bhutan's main structural challenge is broadening a small economy that is closely tied to hydropower and to India. Public debt is projected at 108–112% of GDP for FY2025/26 and the current account deficit near 20% of GDP, both largely reflecting hydropower construction financed on long-term terms and repaid through electricity exports, and the World Bank and IMF assess the risk of debt distress as moderate. Youth unemployment of 20.6% and emigration of about 9% of the population have sharpened the focus on job creation. The authorities are responding on several fronts: reserves have been rebuilt to $1.2 billion at the end of June 2026 and are projected at about seven months of imports, a fiscal deficit target of 3% of GDP anchors consolidation, and the FDI reforms and Gelephu Mindfulness City are designed to draw private investment into tourism, agribusiness, digital services and green industry. For investors this creates an opening to help build new sectors in a stable, well-governed country with abundant clean power.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Small domestic market and landlocked geography	A small population and reliance on road links through India raise logistics costs and limit local demand	Duty-free access to India under the bilateral free trade regime and new rail links to Gelephu and Samtse position Bhutan as an export base for the wider region
Hydropower-linked public debt	Public debt is above 100% of GDP, mostly external and tied to hydropower projects, with the risk of debt distress rated moderate	Debt is backed by revenue-generating power assets selling into India; investors can participate in new capacity through joint ventures with DGPC
Skills availability and emigration	Emigration of about 9% of the population and youth unemployment of 20.6% affect the availability of experienced staff	The 2025 FDI rules removed the local-to-expatriate hiring ratio; investors can combine expatriate expertise with training of a young workforce
Currency exposure through the rupee peg	The ngultrum follows the Indian rupee and weakened about 8% against the dollar between October 2025 and March 2026	Repatriation in the currency of investment is guaranteed; apply standard hedging and match revenues to costs where possible

Issue	Potential Impact	Possible Mitigation
Early-stage Gelephu framework	GMC's legal and regulatory framework for labour, goods and capital mobility is still being developed, as the IMF has noted	Its use of Singaporean law and ADGM regulations offers familiar standards; early entrants can engage directly with the GMC Authority as rules are finalised
Sector restrictions and the FDI negative list	FDI remains barred in areas such as wholesale and retail trade, real estate, news media and hotels of three stars and below	The priority list has been broadened, with up to 100% foreign ownership in many sectors; structure entry around priority activities
Banking-sector asset quality and climate hazards	Non-performing loans were 7.2% of total loans in January 2026, and glacial lake outburst floods are a recognised risk for hydropower	Supervisory strengthening is under way; established project insurance and engineering standards support long-term energy investment

INVESTOR RISK NOTE

Bhutan's risk profile is that of a stable, peaceful constitutional monarchy with strong institutions, a clear long-term vision and close strategic partnerships, above all with India. Growth has been strong, inflation moderate and reserves rebuilt to $1.2 billion, while the 2025 FDI rules, with guaranteed repatriation and full foreign ownership in priority sectors, mark a genuine opening to private capital. High public debt and a wide current account deficit largely reflect hydropower construction that is repaid through electricity exports, and both the IMF and World Bank rate the risk of debt distress as moderate. The principal considerations for investors are the small scale of the domestic market, availability of skilled staff, currency exposure through the rupee peg and the evolving rulebook in Gelephu Mindfulness City; each can be managed through careful structuring, export orientation and early engagement with the relevant authorities.

MARKET ACCESS

Bhutan's most important market access asset is its free trade regime with India under the Agreement on Trade, Commerce and Transit, first signed in 1972 and last revised in 2016, which also provides duty-free transit for exports to third countries. India accounts for over 80% of Bhutan's trade, with bilateral trade of $1.78 billion in 2024–25 excluding electricity, and is the buyer of Bhutan's hydropower exports. Bhutan resumed its WTO accession process in July 2026 after a pause of more than 18 years, holding its fifth Working Party meeting in Geneva. India and Bhutan announced their first cross-border railways in September 2025, Kokrajhar–Gelephu (69 km) and Banarhat–Samtse (20 km), at a combined cost of about $454 million, which will connect Bhutanese producers to India's national rail network and onward to regional ports.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Prime Minister (Tshering Tobgay)	Leads government policy, including the 13th Five Year Plan and economic stimulus measures, within a constitutional monarchy in which His Majesty the King sets the national vision	Primary reference point for Bhutan's development priorities and policy direction
Department of Industry, Ministry of Industry, Commerce and Employment	Approves FDI projects, issues registration certificates and runs investor promotion and aftercare through Invest Bhutan	Standard first point of contact for market entry outside Gelephu
Gelephu Mindfulness City Authority (Governor Lotay Tshering)	Governs the GMC special jurisdiction, its licensing regime and its master-planned development	Key counterpart for investors in finance, digital assets, green industry and infrastructure
Royal Monetary Authority of Bhutan	Central bank; manages the rupee peg, reserves and foreign-exchange access for FDI companies	Relevant for currency, repatriation and banking-sector matters
Druk Holding and Investments (DHI)	State commercial holding company owning major enterprises, including in	Natural partner for joint ventures and large-scale commercial projects

Actor	Why It Matters	Waverley Engagement Angle
	energy, digital ventures and industry	
Druk Green Power Corporation (DGPC)	National hydropower company and joint-venture partner for Dorjilung, Khorlochhu and Wangchhu	Essential partner for any energy-sector engagement
Ministry of Finance	Manages fiscal policy, public debt and quarterly economic outlooks, and co-ordinates with the IMF and World Bank	Relevant for tax treatment, public financing and macroeconomic dialogue

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Bhutan Chamber of Commerce and Industry is the principal private-sector association and a useful channel for identifying local partners. The Department of Industry promotes investment through international summits, overseas roadshows and Bhutan's embassies, while the Bhutan Innovation Forum has become a showcase for Gelephu Mindfulness City. India is the leading development partner, with INR 10,000 crore committed to the 13th Five Year Plan, and Indian companies such as Tata Power and Adani Power provide practical experience of joint ventures with DGPC. The World Bank, which supports the Dorjilung project, the IMF and the Asian Development Bank maintain active programmes supporting energy, the financial sector and private-sector development.

INVESTOR PROFILE BEST SUITED

Bhutan best suits investors who value stability, sustainability credentials and long-term partnership over scale: hydropower and renewable-energy developers and infrastructure investors partnering with DGPC; premium hospitality and eco-tourism operators building on a high-value, low-volume tourism model; agribusiness and food-processing firms able to use full foreign ownership and duty-free access to India; and IT, digital-services and green-industry investors attracted by clean, competitively priced power and the Gelephu Mindfulness City framework. Financial-services and digital-asset firms considering Gelephu should engage early with the GMC Authority as its rulebook is completed.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the Department of Industry and review the FDI Rules 2025
Confirm sector eligibility, ownership limits and land-lease options under the priority and negative lists before structuring a project.

STEP 2: Assess the Gelephu Mindfulness City opportunity
Open dialogue with the GMC Authority on licensing, applicable Singaporean and ADGM-based rules and the timeline for airport and rail connectivity.

STEP 3: Explore hydropower and clean-energy partnerships
Approach DGPC and Druk Holding and Investments on joint-venture opportunities, drawing on the Tata Power and Adani Power precedents.

STEP 4: Plan around the India market and rupee peg
Design supply chains and pricing for duty-free access to India and apply standard hedging for dollar-denominated capital.

STEP 5: Build a local talent and partner base
Work with the Bhutan Chamber of Commerce and Industry and training institutions to recruit, develop and retain Bhutanese staff alongside expatriate expertise.